Does the market price the Fed's own rule?

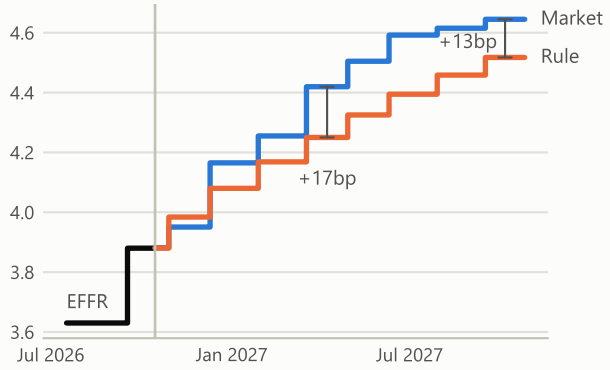
Weekly brief, 16 October 2026 · USD and GBP as of 15 October 2026 · generated 2026-10-16

The policy path each market prices over the next eight meetings, against the path the Fed's own balanced-approach rule takes on that currency's data public that day, today's inputs held flat. The gap is market minus rule, z-scored against its trailing two years.

Realized overnight rate — Market-implied path — Rule path, today's inputs held flat — Brackets: the gap at the fourth and eighth meetings

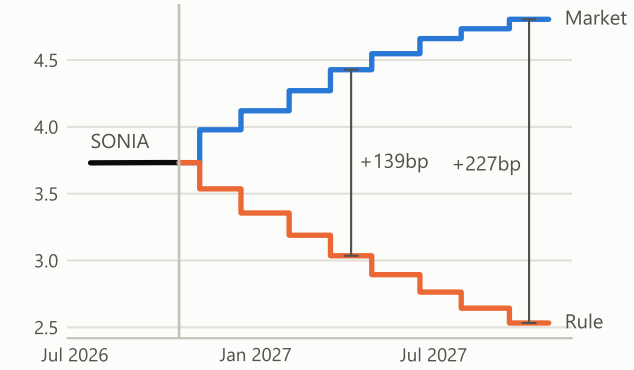
USD: fed funds

next 8 FOMC meetings, %; market path from ZQ



GBP: Bank Rate

next 8 MPC meetings, %; market path from OIS



The gaps at the first, fourth and eighth meetings ahead

	Gap, market − rule, bp			z		
	1st	**4th**	**8th**	**1st**	**4th**	**8th**
USD	−3	**+17**	+13	+0.7	**+2.6**	+2.7
GBP	+44	**+139**	+227	+2.1	**+1.8**	+1.7
GBP − USD†	—	—	—	+1.6	**+0.7**	+0.8

Bold: the fourth meeting, the one the book trades. † The GBP gap minus the USD gap on the sessions both have, z-scored the same way. Its bp are not shown: the two gaps take r* by different methods, so the bp difference is mostly that choice, and only the z compares.

The trades: each sleeve's signal, its carry and roll, and its round trip (bp per unit DV01)

Sleeve	z	Side	Instrument	Edge	Carry and roll, 91d	Expected, 91d	Round trip	Breakeven
USD outright	+2.6	receive	ZQ Apr 2027	+58	+25	+40	1.05	earns carry and roll
GBP outright	+1.8	receive	OIS forward 18 Mar-29 Apr 2027	+83	+32	+38	1.00	earns carry and roll
USD 2s10s	+1.4	receive	2y vs 10y Treasury	+22	+13	+14	1.00	earns carry and roll
GBP 2s10s	−0.2*	pay	2y vs 10y gilt	+3	−10	−1	2.00	bleeds, does not pay
GBP − USD 2y	+0.7*	receive	2y gilt vs 2y Treasury	+26	−1	+4	1.50	bleeds, pays

Edge: |z| × the gap's trailing sd, the bp the signal expects to close (for the curve and cross sleeves, a proxy for the legs' move). Carry and roll: earned over the next 91 days if the curve stands still, signed for the side. Expected: the share of the gap that has historically closed, plus carry and roll on the rest. Round trip: all legs in and out at the configured costs (ZQ at its tick, the rest assumed). Breakeven: bleeds if carry and roll runs against the side; pays if the expected quarter is positive. * |z| < 1: no entry (enter at 1, exit at 0).

What changed since last week

USD, 9 Oct to 15 Oct: the gap at the fourth meeting went from +19bp to +17bp (z +2.8 to +2.6). The market moved +2bp, and the rule +3bp because core PCE for September printed 3.1% (from 3.0%).

GBP, 9 Oct to 15 Oct: the gap at the fourth meeting went from +140bp to +139bp (z +1.8 to +1.8). The market moved +0bp; the rule held.

What would make this wrong

The widest reading is USD at the fourth meeting (z +2.6, +17bp): the market prices more tightening than the rule. It is wrong if the market is right that core PCE (3.1%) and unemployment (4.2%) will move: the rule holds today's inputs flat, so a market that prices their change looks mispriced to it. GBP's r* is a constant (−1.6%), a hindsight number that moves the bp gap and mostly leaves the z unchanged.

Limitations, from the data-quality and lag tags in config. USD and GBP: Hold-flat conditioning: inflation, the unemployment gap and r* stay at today's values at every meeting. The rule is imposed from the Fed's Monetary Policy Report, not estimated. A par leg is funded at the overnight rate, standing in for repo. Legs are DV01-linear, so the P&L leaves out convexity: under 3bp a year per unit DV01 on a 2s10s receive, 7bp at most (2022). **USD:** Scheduled FOMC dates are treated as known on every date (fomc.csv records no publication date). Core PCE's latest one or two months are bridged from core CPI until PCE prints (real-time RMSE 0.075pp m/m). CBO's natural rate has vintages only from 2011-02-02, so the model path starts 2011-03-04. r* is the SEP median as FRED rounds it (to within 5bp); Taylor's 2% before the first dot, 2012-01-25. Treasury legs are H.15 constant-maturity par yields: a fitted curve, not traded bonds. 34 of 3,921 USD sessions have no Treasury yields (bond market shut, CME open): a leg carries its last print. **GBP:** The Bank's OIS curve has monthly maturities, so a meeting's step is placed by interpolating between them; against the Bank's own MPR conditioning paths the path is within 1.0bp on average. Scheduled MPC dates are treated as known on every date; the September 2022 meeting is listed on the 22nd, where it was moved to. CPI release days before February 2016 are dated the 26th of the month (up to ~10 days late, never early). LFS release days before April 2016 are dated the 26th of the month (up to ~10 days late, never early). LFS unemployment is noisy after the 2023 response-rate collapse: suspended Oct 2023-Jan 2024 (the last official vintage is held), "official statistics in development" Feb 2024-Aug 2026, volatile in mid-2023 and 2024, and a collection error in May-June 2026 degraded releases from July. u* is a constant 4.5%, not a real-time estimate. r* is a constant (−1.6%, the 2009-26 average real Bank Rate): a hindsight number that moves the bp gap and mostly leaves the z unchanged, except near the floor. The outright is a meeting-dated OIS forward off the Bank's fitted curve, not a traded contract. Gilt legs are par yields from the Bank's fitted spot curve, not traded gilts; a missing 0.5y point is interpolated (at most 0.3bp on 2y par). GBP legs convert at the H.10 noon New York rate, not the London close, carried over Fed holidays (132 of 4,063 GBP sessions).